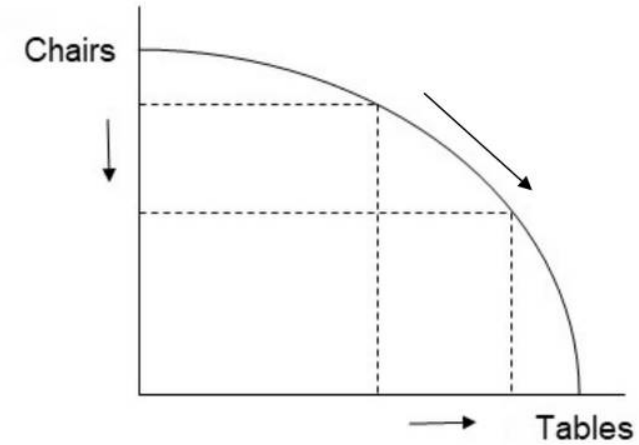
Type MS · External costs and external benefits

Answer 1 of 24 · Question 3 part d · 6 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** government intervention A is not correct because a pollution permit is not a resource used to produce goods and services C is not correct because a pollution permit does not have reduced average costs due to expansion D is not correct because these are things expected to be true although there is no definite proof	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **A** Increase in the use of fertiliser B is not correct because this would lead to a decrease in productivity C is not correct because this is not related to the productivity D is not correct because this would lead to a decrease in productivity	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes **(1)** Award 1 mark for showing a decrease in chairs on the PPF **(1)** Award 1 mark for showing an increase in tables on the PPF **(1)**  	**(3)**

Type MS · External costs and external benefits

Answer 1 of 24 · Question 3 part d · 6 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Vaccinations such as the MMR would provide an external benefit to people who do not receive the vaccination because there is less chance of contracting measles, mumps or rubella • This is because if more people are vaccinated with MMR, there is less chance of them passing on the diseases • Therefore there would be fewer people in England with measles, mumps or rubella, even if they did not receive the vaccination themselves • The NHS would prefer more children to have the vaccination because it would reduce the spread of disease • A healthier workforce would lead to higher levels of production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 1 of 24 · Question 3 part d · 6 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The quantity of workers whom producers are willing and able to employ is known as the demand for labour • It can be affected by demand for the product, productivity and availability of substitutes, such as machines • This means that the advancement of technology in the retail sector has seen labour being replaced by machines • Therefore, fewer employees would be needed in shops such as those in town centres, especially as at least 10% of shops have been vacant for the last five years • As a result, the demand for labour is likely to be reduced by the availability of substitutes **AO4** • However, labour is still needed to develop, build and maintain the machines • As the percentage of online sales is now above 20% of total retail sales, more employees will be needed to meet this online demand, including warehouse operatives and postal workers to deliver retail orders • Therefore, although certain types of labour may reduce (such as shop workers), other types may increase (such as software developers) • As a result, the demand for labour will not always be reduced due to the availability of substitutes

Type MS · External costs and external benefits

Answer 1 of 24 · Question 3 part d · 6 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 1 of 24 · Question 3 part d · 6 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark

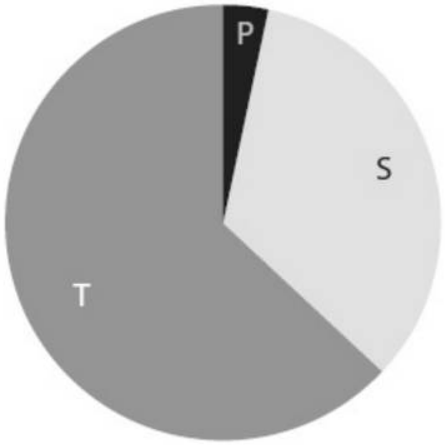
Type MS · External costs and external benefits

Answer 2 of 24 · Question 2 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** **C** Maximise profits	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **B** Roads	**(1)**

Question number	Answer	Mark
2(c)	**AO2 3 marks**  Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**	**(3)**

Type MS · External costs and external benefits

Answer 2 of 24 · Question 2 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to a person using a common resource they have not paid for A person who takes advantage of a common resource without paying for it	**(1)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Congestion causes pollution **(1)** which harms the health of third parties such as pedestrians **(1)** Accept any other appropriate response	**(2)**

Type MS · External costs and external benefits

Answer 2 of 24 · Question 2 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of health care • One reason is that there may not be enough doctors available in the public sector to administer the vaccination **(1)** meaning pharmacies in the private sector are needed to help meet the high demand **(1)** if the government is to fulfil its aim of protecting the vulnerable groups **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 2 of 24 · Question 2 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • The flu injection is given to the most vulnerable groups because they are more likely to require further healthcare if they became ill from flu • This further healthcare would also be a cost to the UK Government, and so it may be cheaper to prevent the problem with the vaccination in the first place • By reducing the number of people who become ill from the flu, further health care costs may be avoided as there is less risk of the illness spreading • By keeping people healthy, they are more likely to be able to continue working and contribute to the output of the economy **AO4** • The money spent on the vaccinations could be used for other healthcare needs • It may be difficult to distinguish between the groups most in need of the vaccination, so not everyone receives the injection • The vaccination may not work so health care costs may still rise • It is difficult to quantify the costs and external benefits • It depends on other factors whether people become ill

Type MS · External costs and external benefits

Answer 2 of 24 · Question 2 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 2 of 24 · Question 2 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

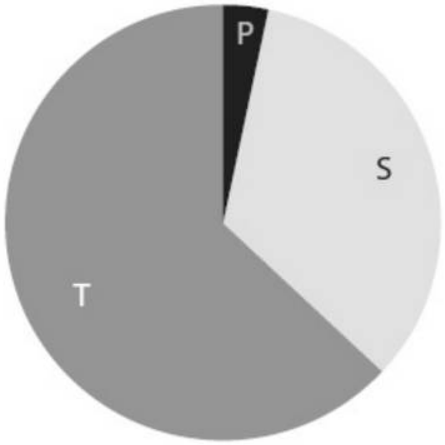
Type MS · External costs and external benefits

Answer 3 of 24 · Question 2 part g · 9 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** **C** Maximise profits	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **B** Roads	**(1)**

Question number	Answer	Mark
2(c)	**AO2 3 marks**  Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**	**(3)**

Type MS · External costs and external benefits

Answer 3 of 24 · Question 2 part g · 9 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to a person using a common resource they have not paid for A person who takes advantage of a common resource without paying for it	**(1)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Congestion causes pollution **(1)** which harms the health of third parties such as pedestrians **(1)** Accept any other appropriate response	**(2)**

Type MS · External costs and external benefits

Answer 3 of 24 · Question 2 part g · 9 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of health care • One reason is that there may not be enough doctors available in the public sector to administer the vaccination **(1)** meaning pharmacies in the private sector are needed to help meet the high demand **(1)** if the government is to fulfil its aim of protecting the vulnerable groups **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 3 of 24 · Question 2 part g · 9 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • The flu injection is given to the most vulnerable groups because they are more likely to require further healthcare if they became ill from flu • This further healthcare would also be a cost to the UK Government, and so it may be cheaper to prevent the problem with the vaccination in the first place • By reducing the number of people who become ill from the flu, further health care costs may be avoided as there is less risk of the illness spreading • By keeping people healthy, they are more likely to be able to continue working and contribute to the output of the economy **AO4** • The money spent on the vaccinations could be used for other healthcare needs • It may be difficult to distinguish between the groups most in need of the vaccination, so not everyone receives the injection • The vaccination may not work so health care costs may still rise • It is difficult to quantify the costs and external benefits • It depends on other factors whether people become ill

Type MS · External costs and external benefits

Answer 3 of 24 · Question 2 part g · 9 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 3 of 24 · Question 2 part g · 9 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · External costs and external benefits

Answer 4 of 24 · Question 2 part c · 1 mark

2019 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO1 1 mark** **C** 4%	**(1)**

Question Number	Answer	Mark
2(b)	**AO2 1 mark** **A** Direct taxation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct way. • Visual pollution • Noise pollution • Air pollution • Water pollution Accept any other appropriate responses.	**(1)**

Type MS · External costs and external benefits

Answer 4 of 24 · Question 2 part c · 1 mark

2019 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to increasing productive capacity and 1 mark for reference to aggregate supply. Policies designed to increase the productive capacity of the economy **(1)** by influencing aggregate supply **(1)** OR Government measures **(1)** designed to increase aggregate supply in the economy **(1)**	**(2)**

Question Number	**Answer**	**Mark**
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage of having a depreciating currency. Award 1 mark for developing the advantage. Award 1 mark for the response being in context. • An improvement on the current account **(1)** A weaker value of the peso leads to rising export sales **(1)** resulting in a larger trade surplus for the economy of the Philippines **(1)** • Economic growth for the economy of the Philippines **(1)** The price of exports should fall because of the weaker peso **(1)** This may result in an increase in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · External costs and external benefits

Answer 4 of 24 · Question 2 part c · 1 mark

2019 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason. Award 1 mark for developing the possible reason. Award 1 mark for the response being in context. • To access customers in different regions **(1)** Demand may have become saturated in the domestic market of the MNC **(1)** A growing economy such as India provides a much bigger market in which to sell their goods/services **(1)** • Cheaper resources such as labour **(1)** Countries such as India have cheaper skilled labour compared to the domestic market of the MNC **(1)** This allows the MNC to produce products at a much lower cost **(1)** Accept any other appropriate response.	**(3)**

Type MS · External costs and external benefits

Answer 4 of 24 · Question 2 part c · 1 mark

2019 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries such as Thailand because they have access to a wider market in ASEAN countries, such as Vietnam, in which to sell their goods and services • Firms in countries such as Thailand may be able to exploit economies of scale or specialisation can occur • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the ASEAN trade block may attract increased FDI • Membership of the trade bloc has contributed to an increase in GDP per capita from $122 to $4 021 **AO4** • Thailand may face increased competition as imports from other member countries increase • This may have a damaging effect on Thailand's domestic firms • Countries such as Thailand may rely too heavily on trade within the bloc rather than trading with non-member countries such as India • The overall benefits will depend on the ability of a country to compete within the region and the level of trade with non-member countries	**(9)**

Type MS · External costs and external benefits

Answer 4 of 24 · Question 2 part c · 1 mark

2019 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 4 of 24 · Question 2 part c · 1 mark

2019 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark

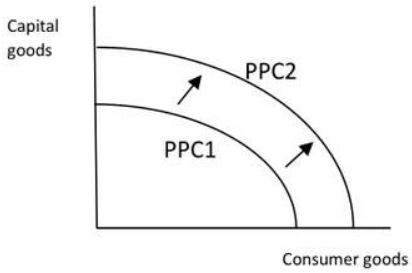
Type MS · External costs and external benefits

Answer 5 of 24 · Question 3 part e · 9 marks

2020 JAN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** **B** Skilled labour	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Large firms dominate the market	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for correctly labelling the axes Award 1 mark for drawing PPC1 closer to the axes than PPC2 Award 1 mark for drawing PPC2 showing positive economic growth from PPC1  	**(3)**

Type MS · External costs and external benefits

Answer 5 of 24 · Question 3 part e · 9 marks

2020 JAN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The demand for labour is likely to be affected by the wage rate, derived demand, productivity and the availability of substitutes • Machines provide a substitute for labour in many jobs and this factor is increasing • Google has developed an automated assistant meaning jobs currently performed by labour in call centres may also be replaced by machines • If machines can do the job more efficiently and/or cheaper then firms are likely to want to switch to machines, reducing the demand for labour • The more technology advances, the more substitutes there will be for labour and so the demand for labour is likely to continue to decrease

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Type MS · External costs and external benefits

Answer 5 of 24 · Question 3 part e · 9 marks

2020 JAN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Externalities are the spillover effects of consumption or production • Negative externalities occur when a cost is imposed on a third party by those organising or paying to attend fireworks displays • Some former military personnel experience negative externalities because they suffer from being reminded about experiences as a result of the loud noises even though they are not choosing to be consumers of the fireworks • This means the fireworks are providing a negative externality/external cost to these former military personnel as well as to animals that are frightened by the 'bang', 'pop' and 'whizz' sounds • As firework displays may take place for many reasons, private and public events and to celebrate religious occasions, the negative externality may be experienced at many times of year **AO4** • However, people who see and hear fireworks without paying to attend a display or intentionally being a consumer, may be experiencing external benefits • Positive externalities occur when a benefit is enjoyed by a third party • People away from the fireworks display may enjoy watching the colourful sparks in the sky but not the 'bang', 'pop' and 'whizz' noises • It is possible that a third party may experience both positive and negative externalities at different times • It may depend how long the fireworks last, the time of day they are displayed or how close they are to the third party

Type MS · External costs and external benefits

Answer 5 of 24 · Question 3 part e · 9 marks

2020 JAN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · External costs and external benefits

Answer 5 of 24 · Question 3 part e · 9 marks

2020 JAN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

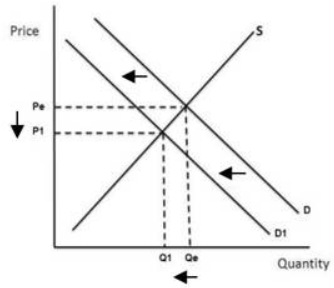
Question number	Answer	Mark

Type MS · External costs and external benefits

Answer 6 of 24 · Question 1 part e · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** **B** Secondary	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **C** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to multiplying the price of each unit and 1 mark for reference to the number of units sold The amount of money a firm receives **(1)** from selling its output **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct cause Better technology/increased efficiency Accept any other appropriate response	**(1)**

Type MS · External costs and external benefits

Answer 6 of 24 · Question 1 part e · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

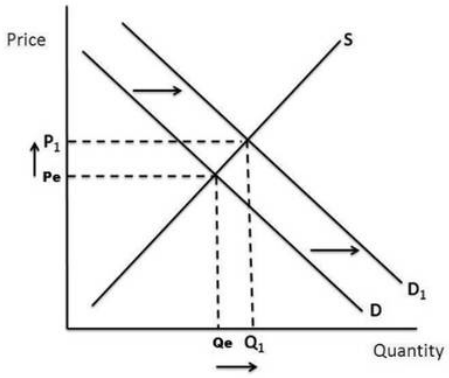
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A benefit to a third party Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 6,000 - (1,200 + 1,450 + 1,625) **(1)** Award 1 mark for correct excess supply = 1,725 tour guides **(1)** Award 2 marks if excess supply is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · External costs and external benefits

Answer 6 of 24 · Question 1 part e · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

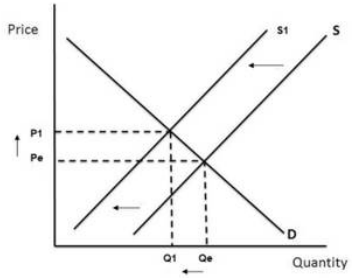
Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage of the takeover may be improved quality **(1)** because Connect Airways may make higher profits **(1)** so it may be able to finance more comfortable airline seats for its passengers **(1)** • One advantage may be economies of scale from the link with Virgin **(1)** because the new airline can buy fuel in bulk at a lower cost **(1)** passengers may then benefit from decreased prices **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 6 of 24 · Question 1 part e · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The supply curve shows how much of a good that producers are willing and able to supply at different prices over time • Natural factors such as adverse weather could shift the supply curve inwards/to the left • Possible use of a diagram:  • Adverse weather such as a typhoon can reduce supply because it can make it more difficult (destroying property, equipment washed away) to supply and more expensive (costing one restaurant owner between HK$300 000 and HK$400 000) • If it is more difficult and/or more expensive to supply (the quantity supplied is likely to shift from Qe to Q1 on the diagram) • This will therefore result in an increase in the price (from Pe to P1) if demand stays the same

Type MS · External costs and external benefits

Answer 6 of 24 · Question 1 part e · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

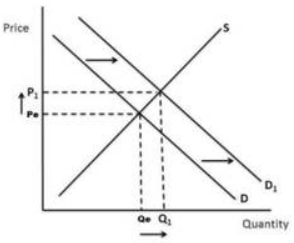
Question number	Answer	Mark

Type MS · External costs and external benefits

Answer 7 of 24 · Question 1 part c · 2 marks

2020 NOV · Paper 01 · extract 1 of 4 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** **C** Opportunity cost	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a negative impact and 1 mark for reference to third party A negative effect **(1)** imposed on a third party **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Education/healthcare/vaccination Accept any other appropriate response	**(1)**

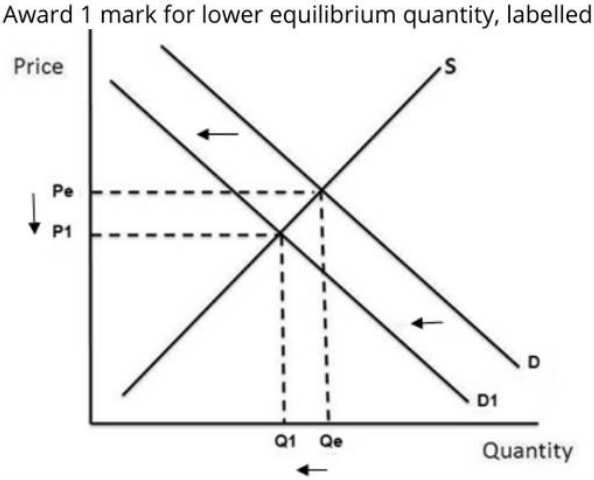
Type MS · External costs and external benefits

Answer 7 of 24 · Question 1 part c · 2 marks

2020 NOV · Paper 01 · extract 2 of 4 · find part c in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The desire for goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation (3,600 + 3,200 + 3,100) - 9,000 **(1)** Award 1 mark for correct excess demand = 900 **(1)** Award 2 marks if excess demand is correctly calculated, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · External costs and external benefits

Answer 7 of 24 · Question 1 part c · 2 marks

2020 NOV · Paper 01 · extract 3 of 4 · find part c in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a barrier to entry Award 1 mark for developing the response Award 1 mark for the response being in context • One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)** Accept any other appropriate response.	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Beans are harvested from coffee plants which means that land is needed to produce coffee • The coffee beans are picked by hand because labour is needed to determine when the fruit is ready to harvest • The process of sorting the beans and transforming them from their natural state to consumable beans, ground or instant products is done by machinery, which is capital. This maybe because is it more productive/cost effective than using labour. • Enterprise combines the other factors of production to make sure the bean gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce coffee as without any one of them the process would not be completed as efficiently

Type MS · External costs and external benefits

Answer 7 of 24 · Question 1 part c · 2 marks

2020 NOV · Paper 01 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

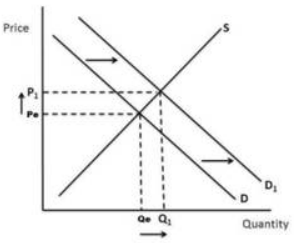
Question number	Answer	Mark

Type MS · External costs and external benefits

Answer 8 of 24 · Question 1 part d · 1 mark

2020 NOV · Paper 01 · extract 1 of 4 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** **C** Opportunity cost	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a negative impact and 1 mark for reference to third party A negative effect **(1)** imposed on a third party **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Education/healthcare/vaccination Accept any other appropriate response	**(1)**

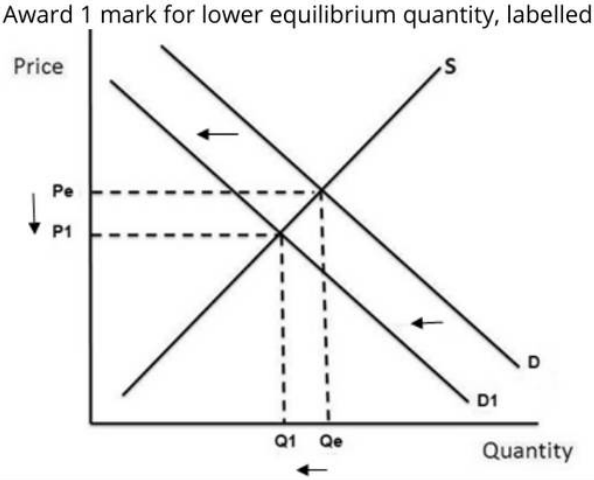
Type MS · External costs and external benefits

Answer 8 of 24 · Question 1 part d · 1 mark

2020 NOV · Paper 01 · extract 2 of 4 · find part d in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The desire for goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation (3,600 + 3,200 + 3,100) - 9,000 **(1)** Award 1 mark for correct excess demand = 900 **(1)** Award 2 marks if excess demand is correctly calculated, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · External costs and external benefits

Answer 8 of 24 · Question 1 part d · 1 mark

2020 NOV · Paper 01 · extract 3 of 4 · find part d in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a barrier to entry Award 1 mark for developing the response Award 1 mark for the response being in context • One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)** Accept any other appropriate response.	**(3)**

Question number	Indicative content
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Type MS · External costs and external benefits

Answer 8 of 24 · Question 1 part d · 1 mark

2020 NOV · Paper 01 · extract 4 of 4 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
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Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

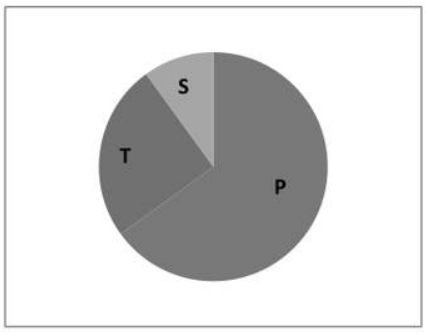
Type MS · External costs and external benefits

Answer 9 of 24 · Question 3 part b · 1 mark

2021 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** Demographic changes A is not correct because this would affect the supply curve C is not correct because this would affect the costs of production D is not correct because this would cause a movement along	**(1)**

Question Number	Which **one** of the following is an example of an external cost? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Litter A is not correct because this is an external benefit C is not correct because it is a private cost D is not correct because it is not an external cost	**(1)**

Question Number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Primary sector (P) being the biggest **(1)** Award 1 mark for the Primary sector (P) being greater than 50% **(1)** Award 1 mark for the remaining smaller portion being divided between the Tertiary (T) and the Secondary (S) sectors **(1)**  	**(3)**

Type MS · External costs and external benefits

Answer 9 of 24 · Question 3 part b · 1 mark

2021 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply. Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Excess supply is where supply is greater than demand and there are unsold products in the market • Market forces refer to supply and demand, as well as how they determine the allocation of scarce resources and price • Where there is excess supply at 10 000 Kip, price will fall as a result of supply being greater than demand • Therefore, at 10 000 Kip, eight LOCA drivers wanted to offer journeys but only four passengers wanted to buy • If drivers lowered their price to 8 000 Kip the excess supply would be removed • Demand rises as the price falls, until the equilibrium price of 8 000 Kip and the equilibrium quantity of six journeys is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 9 of 24 · Question 3 part b · 1 mark

2021 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education. Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • Education is an external benefit because it has a positive spillover effect • This means that the students who gain education at universities in Norway can benefit third parties in the future • This is because the students can obtain more highly skilled jobs as a result of the education, which can be beneficial to the wider society • As a result, the standard of living in a country, such as Norway, may be better and productivity may be higher • Unemployment may therefore be reduced, as shown by the low rate in Norway, meaning there would be fewer costs to the government, and so it may be cheaper to pay for the education instead of welfare benefits **AO4** • There could be an opportunity cost. The money spent on education could be used for other needs such as healthcare • It will take time for the benefits of education to be enjoyed by others in the country • The students may not stay in Norway, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether students become employed in successful jobs which can benefit society

Type MS · External costs and external benefits

Answer 9 of 24 · Question 3 part b · 1 mark

2021 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 9 of 24 · Question 3 part b · 1 mark

2021 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, **the percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working. Answer	Mark

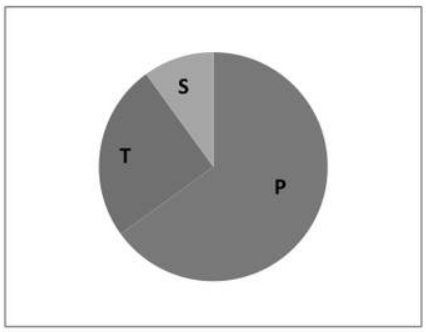
Type MS · External costs and external benefits

Answer 10 of 24 · Question 3 part e · 9 marks

2021 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** Demographic changes A is not correct because this would affect the supply curve C is not correct because this would affect the costs of production D is not correct because this would cause a movement along	**(1)**

Question Number	Which **one** of the following is an example of an external cost? Answer	Mark
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Question Number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Primary sector (P) being the biggest **(1)** Award 1 mark for the Primary sector (P) being greater than 50% **(1)** Award 1 mark for the remaining smaller portion being divided between the Tertiary (T) and the Secondary (S) sectors **(1)** 	**(3)**

Type MS · External costs and external benefits

Answer 10 of 24 · Question 3 part e · 9 marks

2021 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply. Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Excess supply is where supply is greater than demand and there are unsold products in the market • Market forces refer to supply and demand, as well as how they determine the allocation of scarce resources and price • Where there is excess supply at 10 000 Kip, price will fall as a result of supply being greater than demand • Therefore, at 10 000 Kip, eight LOCA drivers wanted to offer journeys but only four passengers wanted to buy • If drivers lowered their price to 8 000 Kip the excess supply would be removed • Demand rises as the price falls, until the equilibrium price of 8 000 Kip and the equilibrium quantity of six journeys is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 10 of 24 · Question 3 part e · 9 marks

2021 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education. Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • Education is an external benefit because it has a positive spillover effect • This means that the students who gain education at universities in Norway can benefit third parties in the future • This is because the students can obtain more highly skilled jobs as a result of the education, which can be beneficial to the wider society • As a result, the standard of living in a country, such as Norway, may be better and productivity may be higher • Unemployment may therefore be reduced, as shown by the low rate in Norway, meaning there would be fewer costs to the government, and so it may be cheaper to pay for the education instead of welfare benefits **AO4** • There could be an opportunity cost. The money spent on education could be used for other needs such as healthcare • It will take time for the benefits of education to be enjoyed by others in the country • The students may not stay in Norway, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether students become employed in successful jobs which can benefit society

Type MS · External costs and external benefits

Answer 10 of 24 · Question 3 part e · 9 marks

2021 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 10 of 24 · Question 3 part e · 9 marks

2021 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, **the percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working. Answer	Mark

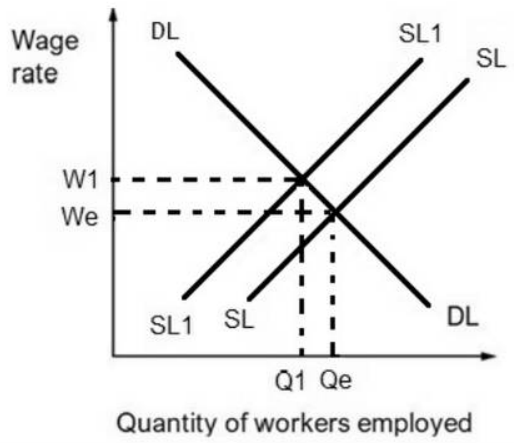
Type MS · External costs and external benefits

Answer 11 of 24 · Question 3 part e · 9 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** Privatisation A is not correct because this is the creation of new land from drained wetlands B is not correct because this is the creation of a new product from an idea C is not correct because this is where an enterprise previously part of the private sector is taken into state ownership	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Farmer A is not correct because it is a service C is not correct because it is not production involving extraction of raw materials from the earth D is not correct because it in the tertiary sector	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for leftward shift of labour supply, labelled Award 1 mark for higher equilibrium wage rate, labelled Award 1 mark for lower equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · External costs and external benefits

Answer 11 of 24 · Question 3 part e · 9 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other • This means that more agricultural goods and copper could be produced and more construction could take place, without the need to shift resources to alternative production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 11 of 24 · Question 3 part e · 9 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • External costs are negative spillover effects of consumption or production • Brick production creates an external cost because it affects third parties in a negative way • This is because it emits smoke and dust into the air which is then breathed in by people in Bangladesh • Demand for bricks is increasing, causing an increase in air pollution • The health of children and the elderly can be affected by this pollution but they are not involved in the production of bricks • Government may have to increase spending on health provision • Brick production contributes considerably to Bangladesh's severe air pollution problem, creating an external cost **AO4** • However, many people in Bangladesh will be customers of the construction industry and the bricks produced • Therefore, these people are not necessarily third parties and so costs of producing bricks may not be external costs (they create private benefits too) • It is sometimes difficult to quantify the external costs and so impossible to know whether the elderly or those with a heart condition have been negatively affected by the costs of producing bricks • Over one million people are employed in the brick production industry in Bangladesh • Therefore, it could be argued the extent to which the costs of producing bricks in Bangladesh are external, is limited

Type MS · External costs and external benefits

Answer 11 of 24 · Question 3 part e · 9 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 11 of 24 · Question 3 part e · 9 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · External costs and external benefits

Answer 12 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

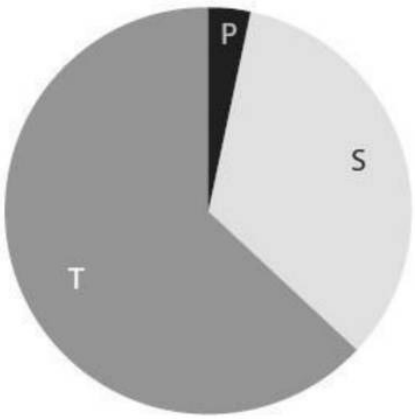
3(a)	**AO1 1 mark** The only correct answer is: **A** The joining together of two firms B is not correct because this is privatisation C is not correct because this means one firm ceases to exist D is not correct because a merger reduces competition in the market	**(1)**

Question number	Which one of the following is a reason why a government would introduce a minimum wage? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** To close the income gap between the rich and the poor A is not correct because if wages increase fewer benefits would need to be paid B is not correct because higher wages may increase motivation D is not correct because this would increase their costs and reduce their profits	**(1)**

Type MS · External costs and external benefits

Answer 12 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question number	On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**  	**(3)**

Type MS · External costs and external benefits

Answer 12 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

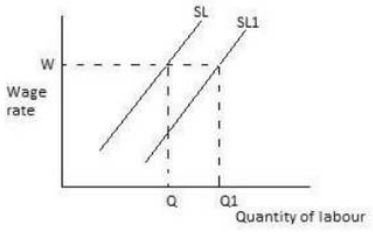
Question number	With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External costs are negative impacts on third parties • Local people and workers in the city's business district could suffer from negative externalities as a result of the tower being built • Negative externalities include noise pollution, air pollution, congestion and overcrowding • Building the tower is likely to be noisy, create dust and require an excess of vehicles in the area • This means that building the tower is likely to lead to negative externalities • Neither the producers nor the consumers would be the ones suffering from the pollution and congestion

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 12 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Dubai of employing such a high proportion of migrant labour. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Migration occurs when a person moves to live in a foreign country • There will be an increase the supply of labour, which shifts the labour supply curve to the right, when there is an increase in the number of workers entering a country and available for employment • Possible use of a diagram  • This could increase in the number of workers employed in a city such as Dubai and will reduce labour shortages in particular sectors • The fact that 2 million migrants (80% of the population) live in Dubai, providing services such as construction, highlights the large contribution migration makes towards the supply of labour in the city • This should help Dubai's economy to be more productive and expand **AO4** • However, the majority of immigrants work in construction, cleaning and care services • This means there may not be a large increase in the supply of labour in other sectors of the economy • The migrant workers may not have the right skills to fill all labour shortages • The supply of labour may only be short-term if migrants return to their home countries after a short period of time. This may make migration less effective as a way to increase the supply of labour • Increasing the retirement age, reducing the school-leaving age or making it easier for females to participate in the workforce may be more effective ways to increase the supply of labour • This is because these methods may make it more effective to keep a long-term supply of labour as well as to recruit workers into jobs in other sectors of the economy than those such as construction, cleaning and care services

Type MS · External costs and external benefits

Answer 12 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 12 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question number	Calculate the total revenue for the product that has a price elasticity of demand (PED) which is inelastic. You are advised to show your working. **Answer**	Mark

Type MS · External costs and external benefits

Answer 13 of 24 · Question 3 part b · 1 mark

2023 JAN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

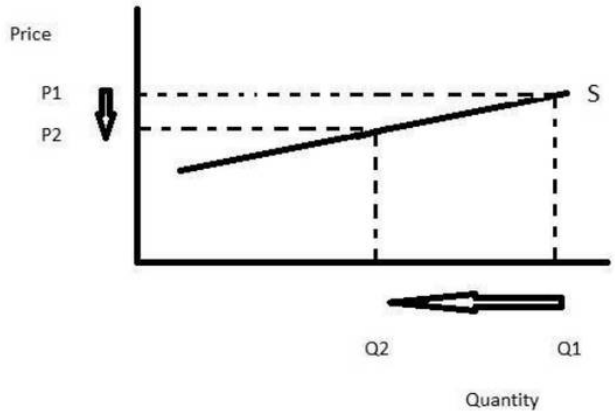
3(a)	**AO1 1 mark** The only correct answer is: **C** Shelter A is not correct because this is an economic want B is not correct because this is a luxury D is not correct because this is not required to sustain life	**(1)**

Question number	Which one of the following is an example of an external benefit? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Education B is not correct because this is an external cost C is not correct because this is regarded as a disadvantage D is not correct because it has a negative impact on the future	**(1)**

Type MS · External costs and external benefits

Answer 13 of 24 · Question 3 part b · 1 mark

2023 JAN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P1 to P2 and its impact on quantity from Q1 to Q2 . **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing elastic supply curve, labelled Award 1 mark for showing smaller price change from P_1 to P_2 on the axis Award 1 mark for showing a greater change in the quantity Q_1 to Q_2 on the axis  	**(3)**

Type MS · External costs and external benefits

Answer 13 of 24 · Question 3 part b · 1 mark

2023 JAN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

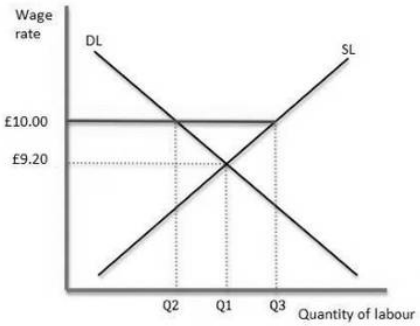
Question number	With reference to the data above and your knowledge of economics, analyse why the UK Government might provide flood defences. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Without the government intervention of the flood defence system, the River Calder flooding may continue, causing firms to shut down, residents to lose their homes and an increase in damaged infrastructure • The UK Government made the £32m investment in a flood defence scheme because residents, businesses and infrastructure in Calderdale had repeatedly suffered from flood damage • The UK Government is likely to provide goods and services that the private sector would be unwilling to provide because of the lack of profit • Flood defences in Calderdale are an example of market failure because the private sector is unlikely to provide resources needed to manage the problem in sufficient quantities • Flood defences are an example of public goods that are provided by the government and have characteristics of being non-rivalry and non-excludable • Failure to provide flood defences would increase the need for individuals and firms to rely on the UK Government financially

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 13 of 24 · Question 3 part b · 1 mark

2023 JAN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the impact of trade union activity on Morrisons and its employees. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A trade union is an organisation which represents the employees in an industry • It aims to protect workers' rights, increase wages, provide legal assistance, put pressure on governments to legislate in favour of employees and improve working conditions • Trade union, Usdaw negotiated an hourly wage increase for the 110,000 workers at Morrisons supermarkets of nearly 9% • An increase in the wage rate may lead to inefficiency and unemployment • This is because the wage increase at the supermarket will mean higher costs for the firm. It may therefore, try to reduce costs by employing fewer workers • Possible use of a diagram  **AO4** • However, the wage rate increase of at least £0.80 per hour may increase productivity • This means Morrisons may be able to maintain the number of workers it employs because, increased productivity would not result in higher costs due to the wage increase • As Morrisons is a leading supermarket, it may be able to pass some of the higher wage rate costs on to consumers in the form of increased prices • This may depend whether the products sold are price inelastic in demand

Type MS · External costs and external benefits

Answer 13 of 24 · Question 3 part b · 1 mark

2023 JAN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · External costs and external benefits

Answer 13 of 24 · Question 3 part b · 1 mark

2023 JAN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	When the current level of output is 250 units of consumer goods, calculate the opportunity cost of producing an additional 40 units of consumer goods. You are advised to show your working. **Answer**	**Mark**

Type MS · External costs and external benefits

Answer 14 of 24 · Question 2 part e · 3 marks

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Structural A is not correct because this occurs due to seasonal factors B is not correct because this is when people choose not to work D is not correct because this is caused by fluctuations in the economic cycle	**(1)**

Question Number	What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **B** £210 A is not correct because this is calculated by £7000 x 0.003 C is not correct because this is calculated by £7000 - £210 D is not correct because this is calculated by £7000 + £210	**(1)**

Question Number	State **one** advantage of free trade. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** advantage • Lower prices • Increased choice for consumers • Wider markets for business Accept any other appropriate response	**(1)**

Type MS · External costs and external benefits

Answer 14 of 24 · Question 2 part e · 3 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

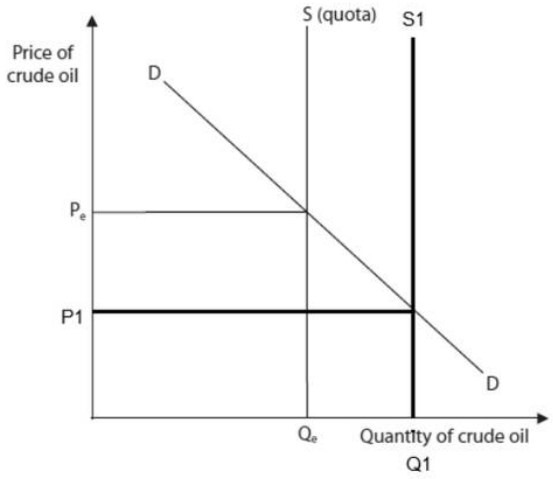
Question Number	What is meant by the term pollution permits? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to legal right and 1 mark for reference to limiting the amount of pollution They give firms the legal right **(1)** to discharge a certain amount of polluting material **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** way an airport can cause damage to the environment. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is noise pollution **(1).** Aircraft constantly landing and taking off **(1)** results in additional noise for the local residents who live close to the airport **(1)** • One way is air pollution **(1).** Fumes from aircraft landing and taking off **(1)** can cause poor air quality in the area around the airport **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 14 of 24 · Question 2 part e · 3 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · External costs and external benefits

Answer 14 of 24 · Question 2 part e · 3 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fines are a financial penalty when a firm breaks environmental laws • Thames Water has been fined £2.3m for polluting a stream in the UK • This will therefore have a negative effect on Thames Water's profits and provide an incentive to not pollute the environment in the future • It may also harm the public image of Thames Water and therefore result in lower investment in the firm • Fines act as a polluter pays principal and the money from the fine can be used to clear up environmental damage • Fines should therefore act as a financial incentive for firms to comply with environmental laws **AO4** • However, many firms continue to pollute despite fines being levied against them including Thames Water • Thames Water has already been fined £24.4m for nine other cases of water pollution demonstrating that this has had very little impact on the firm and its actions • In order for the fine to be effective, it must be large enough to ensure firms do not pollute • Thames Water made £513.4m operating profit in 2020 so the fine is quite small in comparison to its profits • This has led to a situation where the benefits from non-compliance far outweighs the potential fines for polluting • It can take many years for firms to be fined – it has taken over 5 years to bring Thames Water to court making fines a very ineffective way of protecting the environment	**(9)**

Type MS · External costs and external benefits

Answer 14 of 24 · Question 2 part e · 3 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · External costs and external benefits

Answer 14 of 24 · Question 2 part e · 3 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

Type MS · External costs and external benefits

Answer 15 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **A** 25% B is not the correct answer because this is 150-120 C is not the correct answer because this is 150-100 D is not the correct answer because this is not the increase in the rate of inflation	**(1)**

Question Number	Which **one** of the following is an impact of globalisation? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Closing of traditional industries A is not the correct answer because increased competition reduces prices C is not the correct answer because there should be greater choice D is not the correct answer because there should be reduced cost of communication	**(1)**

Type MS · External costs and external benefits

Answer 15 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** likely impact on UK tax revenue from rising unemployment rates. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may decrease **(1)**. Unemployed workers will have to rely on benefits **(1)** this means they do not pay income tax resulting in less tax revenue **(1)** • One impact is that indirect tax revenues may decrease **(1)**. With fewer people in employment, spending on goods/services may decrease **(1)** resulting in less tax for the UK Government **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse how business activity can damage the environment in a country such as Chile. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mining for lithium can cause many different types of pollution • These may include visual, noise, air and water pollution from the operation of the mines • Mining requires large amounts of water to process the lithium • This could result in a reduction of water in lakes so there is less water available for humans, wildlife and agriculture • This can cause damage to the local area from using so much water • Mining can result in large holes being dug which creates a visual impact for people in Chile • Roads might have to be built to transport the lithium from the mines to market, creating additional noise and air pollution for the people of Chile	**(6)**

Type MS · External costs and external benefits

Answer 15 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Type MS · External costs and external benefits

Answer 15 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxes can be either direct or indirect • Lowering direct taxes such as income tax results in workers keeping more of their income from paid employment • Workers can then spend more on goods and services increasing consumption in the Spanish economy particularly in sectors such as tourism and commerce • Lowering indirect taxes such as VAT results in the price of goods and services falling which can lead to an increase in demand • These measures result in firms raising output and having to employ more workers to meet the increase in consumption • These new workers in turn have more to spend creating the incentive for firms to hire more workers • Unemployment should therefore be reduced in the Spanish economy **AO4** • However, taxes are the main source of income for the Spanish Government so reducing taxes could result in a fiscal deficit if this policy is unsuccessful • If consumer confidence is low, cutting taxes may not increase consumer spending as people prefer to save instead • There is no guarantee that people will spend the tax cuts on Spanish produced goods and could purchase imported goods resulting in a negative impact on the current account • The tax cuts could be inflationary if demand outstrips supply • It will all depend on the type of unemployment Spain is suffering from. Tax cuts are likely to be ineffective if Spain has structural and seasonal unemployment • There are currently 4 million unemployed so the effectiveness of reducing taxes may depend upon a range of factors within the Spanish economy	**(9)**

Type MS · External costs and external benefits

Answer 15 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · External costs and external benefits

Answer 15 of 24 · Question 3 part d · 6 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, **the rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working. **Answer**	Mark

Type MS · External costs and external benefits

Answer 16 of 24 · Question 2 part c · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Percentage change in quantity supplied / Percentage change in price A is not correct because this is the formula for PED B is not correct because this does not relate to PES D is not correct because this formula is not used in economics	**(1)**

Question number	A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river. This is an example of which **one** of the following? **Answer**	**Mark**
2(b)	**AO2 1 mark** The only correct answer is: **A** A fine B is not correct because this would give a firm permission to do something C is not correct because this would encourage production due to reducing cost D is not correct because this is added to production costs or sale price	**(1)**

Question number	State **one** example of an external benefit. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for an example of an external benefit • Education • Healthcare • Vaccinations Accept any other appropriate response	**(1)**

Type MS · External costs and external benefits

Answer 16 of 24 · Question 2 part c · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working. **Answer**	**Mark**
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.9%/-1.2% **(1)** Award 1 mark for correct PED = -1.58 **(1)** Award 2 marks if PED is correctly calculated as -1.58, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term entrepreneur. **Answer**	**Mark**
2(e)	**AO1 1 mark** Award 1 mark for a correct definition An individual who organises the factors of production Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why water is a factor of production. **Answer**	**Mark**
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Water is a natural resource that can be used by firms in production **(1)** therefore water is classed as land **(1)** Accept any other appropriate response.	**(2)**

Type MS · External costs and external benefits

Answer 16 of 24 · Question 2 part c · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question number	Explain **one** effect on the supply of rice following a change in its equilibrium price. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $2.20 to $2.30 results in a higher quantity **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1)**. A decrease by $0.10 results in a lower quantity **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 16 of 24 · Question 2 part c · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • It places dependence on the state for production of goods and services and places a high degree of importance on the state controlling this production • The state plays a key role in the provision of key public services such as; education, healthcare, social care and infrastructure • Amongst the aims of this sector are reducing social costs and increasing social benefits • If the public sector is responsible for the creation and maintenance of outdoor areas or parks, the space would be available to everyone, providing a social benefit • This could improve the health of anyone who uses these areas, meaning that there is less need for healthcare and so less public spending would be required in this area, reducing social costs **AO4** • If the public sector uses its finances to create/maintain parks it means less government revenue would be available for other things such as health and education • There is a cost in creating and maintaining the parks which must be funded by the government • The opportunity cost of providing more land for parks is the potential loss of housing and infrastructure • If parks provided by the government become too busy to be enjoyed or to provide suitable opportunities for people's health to benefit, it may be necessary for private sector funding to help provide outdoor areas or parks • This is likely to involve charging for access which would restrict availability for all and associated health benefits

Type MS · External costs and external benefits

Answer 16 of 24 · Question 2 part c · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 16 of 24 · Question 2 part c · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question number	A minimum wage is a type of Answer	Mark

Type MS · External costs and external benefits

Answer 17 of 24 · Question 1 part e · 1 mark

2023 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO2 1 mark** The only correct answer is: **B** Positive economic growth A is not correct because this would shift the PPF inwards C is not correct because it does not show long-run average costs increasing with a rise in output D is not correct because it does not show long-run average costs decreasing with a rise in output	**(1)**

Question number	A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** $10 000 profit A is not correct because total costs have not been deducted C is not correct because a profit would be made and not a loss D is not correct because this is $10 000 - $20 000	**(1)**

Question number	What is meant by the term privatisation? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to moving from the public sector and 1 mark for reference to transfer of ownership to the private sector The government sells/transfers an organisation (in the public sector) **(1)** to the private sector **(1)** Accept any other appropriate response	**(2)**

Type MS · External costs and external benefits

Answer 17 of 24 · Question 1 part e · 1 mark

2023 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	State **one** reason why the government regulates competition in the economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct reason • To promote competition • To limit monopoly power • To protect consumer interests • To control mergers and takeovers Accept any other appropriate response	**(1)**

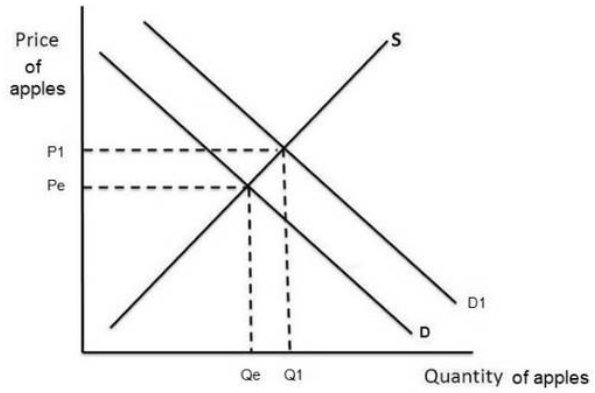
Question number	Define the term congestion. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A situation where a place is crowded Accept any other appropriate response	**(1)**

Question number	Calculate the **total variable costs** for the firm each month. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €16 500 + €95 000 **(1)** Award 1 mark for correct total variable costs €111 500 **(1)** Award 2 marks if total variable costs per month are correctly calculated as €111 500, even if no calculations are shown Award 1 mark for 111 500 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · External costs and external benefits

Answer 17 of 24 · Question 1 part e · 1 mark

2023 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** advantage of using division of labour for the firm. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Production is more efficient **(1)** because workers at the factory will not need to change tools repeatedly to do a different task **(1)** meaning the quantity of tennis balls produced could increase **(1)** • Workers specialising in one task become better at that task **(1)** making them more productive **(1)** and helping to lower the average costs of producing each tennis ball **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 17 of 24 · Question 1 part e · 1 mark

2023 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Sea water is a natural resource, which is land • The salt is removed by filtering the water through machines in order to make the water drinkable, which is capital • The process of ensuring all the salt and impurities have been removed from the water is done by labour (production workers) • Enterprise combines the other factors of production to make sure the water gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce drinking water as, without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 17 of 24 · Question 1 part e · 1 mark

2023 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question number	Which **one** of the following would occur when there are unsold goods in a market? **Answer**	**Mark**

Type MS · External costs and external benefits

Answer 18 of 24 · Question 3 part d · 6 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

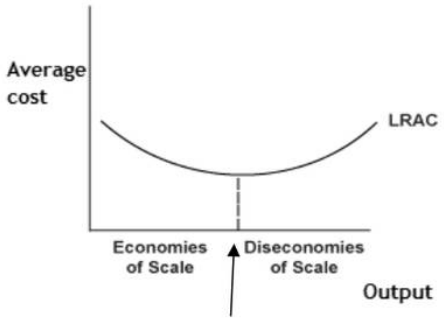
3(a)	**AO1 1 mark** The only correct answer is: **B** To sell a niche product A is not correct because bureaucracy should be reduced C is not correct because risk cannot easily be spread D is not correct because there is less chance of taking over competitors	**(1)**

Question number	The introduction of a minimum wage above the equilibrium wage in a labour market, is most likely to: **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **D** decrease quantity of labour demanded and increase the wage rate A is not correct because employers are less likely to demand labour and the wage rate will be higher than the equilibrium B is not correct because employers are less likely to demand labour C is not correct because the wage rate will be higher than the equilibrium	**(1)**

Type MS · External costs and external benefits

Answer 18 of 24 · Question 3 part d · 6 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for economies of scale labelled Award 1 mark for diseconomies of scale labelled Award 1 mark for point at which firm is most efficient labelled  Most efficient point	(3)

Type MS · External costs and external benefits

Answer 18 of 24 · Question 3 part d · 6 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Education, such as the system provided in Japan would provide an external benefit to people who do not receive the education themselves • This is because students may do socially useful or highly skilled jobs in the future • Therefore, productivity will be higher and so will the standard of living for society, in a country such as Japan • As a result, future generations may benefit from the consumption of education by others, even if they did not receive (a high standard of) education themselves

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 18 of 24 · Question 3 part d · 6 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising sales/revenue • Simona prioritises caring for her customers by charging low prices and being flexible with appointment times • This flexibility has led to problems with provision of hairdressing services due to delays and issues getting an appointment • Therefore, demand has reduced and revenue has fallen • This means that Simona has been unable to meet the loan repayments to her bank and may risk her hairdressing business failing • As a result, it may be a good idea to make these changes in order to increase revenue for the hairdressing business • This may help with financial difficulties as well as reduce the late/cancelled appointments **AO4** • However, some customers may visit the hairdressers due to the low prices • The customers may also welcome the flexibility of the services offered, encouraging them to return and giving Simona's business a good reputation • This may mean a price increase and/or fee for late arrivals/cancellations could reduce custom • Therefore, making these changes may lead to further financial problems rather than resolving them • It may be more important to focus on caring for customers by managing appointment times more carefully • As a result, Simona may be able to continue to prioritise caring for customers but at the same time solve some of her financial issues

Type MS · External costs and external benefits

Answer 18 of 24 · Question 3 part d · 6 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 18 of 24 · Question 3 part d · 6 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working. **Answer**	**Mark**

1(a)	**AO1 1 mark** The only correct answer is: **C** Developing skills A is not correct because this is a disadvantage of MNCs B is not correct because MNCs often cause pollution in other countries D is not correct because MNCs often move profits back to their own countries	**(1)**

Question Number	Which **one** of the following is a measurement of gross domestic product (GDP)? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** Total value of goods and services produced within an economy A is not correct because of GDP focuses on the production aspect of goods and services rather than the value traded C is not correct because exports are only a part of the total production within an economy D is not correct because it the value of imports is not used in the calculation of GDP	**(1)**

Question Number	What is meant by the term the current account on the balance of payments? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A record of all transactions **(1)** relating to international trade **(1)** **OR** It is where the total value of exports and imports **(1)** are recorded **(1)** Accept any other appropriate response	**(2)**

Type MS · External costs and external benefits

Answer 19 of 24 · Question 1 part d · 2 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

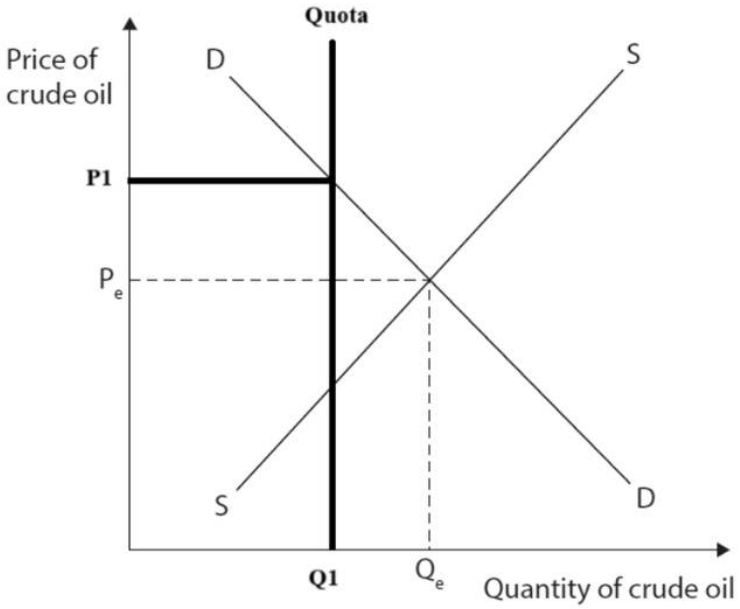
Question Number	Describe **one** way business activity can damage the environment. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to a way and 1 mark for the development of the way One way is by air pollution **(1)** due to factories releasing large amounts of greenhouse gases into the air **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for selecting direct taxes from the table £20bn + £7.6bn **(1)** Award 1 mark for the correct answer = £27.6bn **(1)** Award 2 marks if the correct answer is £27.6bn even if no calculations are shown Award 1 mark if £bn is missing i.e. 27.6 with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · External costs and external benefits

Answer 19 of 24 · Question 1 part d · 2 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · External costs and external benefits

Answer 19 of 24 · Question 1 part d · 2 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Question Number	Explain **one** reason why there may be a link between economic growth and inflation for an economy. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that economic growth can lead to a rise in demand for goods and services **(1).** Due to supply not keeping up with demand **(1)** prices rise/inflation occurs as demand is greater than supply **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • As more firms from different countries in the AfCFTA enter the South African market, domestic firms may face increased competition • Foreign firms may have advantages such as lower costs of production, better technology or greater access to resources which can give them an advantage over domestic firms • This could lead to lower prices and profit margins, making it harder for domestic firms to survive in the market • If South African firms are unable to compete with other firms in the trade bloc they may be forced to close or to reduce their workforce	**(6)**

Type MS · External costs and external benefits

Answer 19 of 24 · Question 1 part d · 2 marks

2024 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

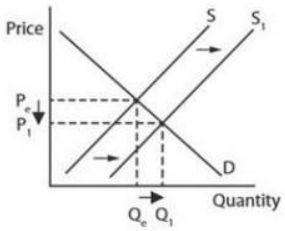
Question Number	What is the likely impact of lower transport and communication costs on an economy? **Answer**	Mark

Type MS · External costs and external benefits

Answer 20 of 24 · Question 1 part c · 2 marks

2024 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The next best alternative given up A is not correct because this is business competition B is not correct because this gives no alternative choice D is not correct because this is spare capacity	**(1)**

Question number	Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is **A**  B is not correct because this would be due to a change in price C is not correct because this is a decrease in supply D is not correct because this is a movement along the supply curve	**(1)**

Question number	What is meant by the term external benefit? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition A positive effect **(1)** enjoyed by a third party **(1)** Accept any other appropriate response	**(2)**

Type MS · External costs and external benefits

Answer 20 of 24 · Question 1 part c · 2 marks

2024 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	State **one** example of an external cost. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Pollution • Congestion • Environmental damage Accept any other appropriate response	**(1)**

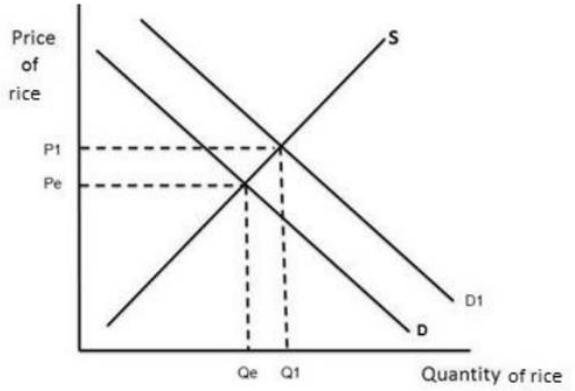
Question number	Define the term takeover. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition When one firm takes control of another firm Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -3.7%/-9.4% **(1)** Award 1 mark for correct PES = 0.39 **(1)** Award 2 marks if PES is correctly calculated as 0.39 even if no calculations are shown Award 1 mark if PES is calculated as 0.39%, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · External costs and external benefits

Answer 20 of 24 · Question 1 part c · 2 marks

2024 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the demand curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In the short term, consumers may not be able to break their habit **(1)** but in time they are able to reduce consumption **(1)** meaning that they buy less of the sugary products **(1)** • More firms may enter the market **(1)** meaning more substitutes are available **(1)** so, in time, the difference in PED is 0.5 more elastic **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 20 of 24 · Question 1 part c · 2 marks

2024 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Cocoa pods and sugar are natural resources, which are all examples of land being needed to produce chocolate • The cocoa pods are picked by hand which means labour is needed • Ovens in which the cocoa beans are roasted are examples of capital, because these are man-made • Enterprise combines the other factors of production to make sure the production from cocoa to chocolate takes place effectively to get the finished product to the consumer • Thus, all four factors of production may be used to produce chocolate, as without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 20 of 24 · Question 1 part c · 2 marks

2024 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

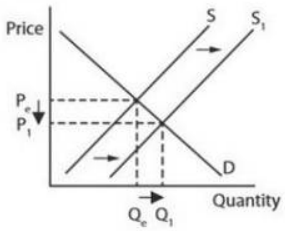
Question number	Which **one** of the following options is the most suitable term for the type of market shown in Figure 2? **Answer**	**Mark**

Type MS · External costs and external benefits

Answer 21 of 24 · Question 1 part d · 1 mark

2024 NOV · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The next best alternative given up A is not correct because this is business competition B is not correct because this gives no alternative choice D is not correct because this is spare capacity	**(1)**

Question number	Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is **A**  B is not correct because this would be due to a change in price C is not correct because this is a decrease in supply D is not correct because this is a movement along the supply curve	**(1)**

Question number	What is meant by the term external benefit? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition A positive effect **(1)** enjoyed by a third party **(1)** Accept any other appropriate response	**(2)**

Type MS · External costs and external benefits

Answer 21 of 24 · Question 1 part d · 1 mark

2024 NOV · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question number	State **one** example of an external cost. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Pollution • Congestion • Environmental damage Accept any other appropriate response	**(1)**

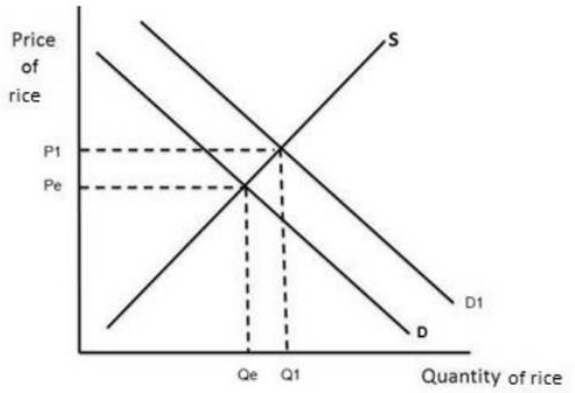
Question number	Define the term takeover. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition When one firm takes control of another firm Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -3.7%/-9.4% **(1)** Award 1 mark for correct PES = 0.39 **(1)** Award 2 marks if PES is correctly calculated as 0.39 even if no calculations are shown Award 1 mark if PES is calculated as 0.39%, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · External costs and external benefits

Answer 21 of 24 · Question 1 part d · 1 mark

2024 NOV · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question number	Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the demand curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In the short term, consumers may not be able to break their habit **(1)** but in time they are able to reduce consumption **(1)** meaning that they buy less of the sugary products **(1)** • More firms may enter the market **(1)** meaning more substitutes are available **(1)** so, in time, the difference in PED is 0.5 more elastic **(1)** Accept any other appropriate response	**(3)**

Type MS · External costs and external benefits

Answer 21 of 24 · Question 1 part d · 1 mark

2024 NOV · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Cocoa pods and sugar are natural resources, which are all examples of land being needed to produce chocolate • The cocoa pods are picked by hand which means labour is needed • Ovens in which the cocoa beans are roasted are examples of capital, because these are man-made • Enterprise combines the other factors of production to make sure the production from cocoa to chocolate takes place effectively to get the finished product to the consumer • Thus, all four factors of production may be used to produce chocolate, as without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 21 of 24 · Question 1 part d · 1 mark

2024 NOV · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question number	Which **one** of the following options is the most suitable term for the type of market shown in Figure 2? **Answer**	**Mark**

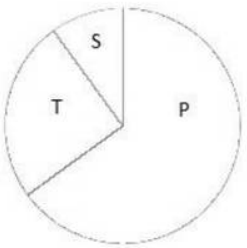
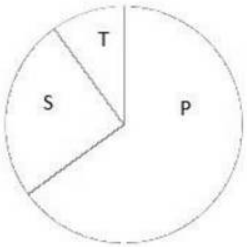
Type MS · External costs and external benefits

Answer 22 of 24 · Question 3 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** Price of substitute goods A is not correct because this would affect the costs of production B is not correct because this would not shift the demand curve D is not correct because this would affect the supply curve	**(1)**

Question number	Which **one** of the following is an example of an external cost? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Litter B is not correct because this is a private cost C is not correct because this is not an external cost D is not correct because this is an external benefit	**(1)**

Question number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for the primary sector (P) being the biggest **(1)** Award 1 mark for the primary sector (P) being greater than or equal to 50% **(1)** Award 1 mark for the remaining portion being divided between the tertiary (T) and the secondary (S) sector **(1)**  OR  	**(3)**

Type MS · External costs and external benefits

Answer 22 of 24 · Question 3 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When excess demand occurs, there are not enough tickets available in the market • As not enough tickets are supplied at 1 500 krona, price will rise as a result of demand being greater than supply • Therefore, at 1 500 krona, 8,000 tickets would be demanded but only a maximum of 6,000 tickets would be available at an event • If the price increased to 2 000 krona, the excess demand would be removed • Demand falls as the price increases, until the equilibrium price of 2 000 krona and the equilibrium of 6,000 tickets is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 22 of 24 · Question 3 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare is an external benefit because it has a positive spillover effect • This means that the people who receive healthcare in Indonesia can provide a benefit to third parties • This is because when people are healthy, they would be more likely to be able to perform their jobs and carry out activities in the economy, which can be beneficial to the wider society • Therefore, firms are also more likely to be able to produce the standard/quality of goods and services demanded by people in Indonesia • Economic growth has therefore increased, as shown by the better-than-expected rise, thus benefitting the people of Indonesia **AO4** • However, there could be an opportunity cost. The money spent on healthcare could be used for other needs such as education • It will take time for the benefits of healthcare to be enjoyed by others in the country because people may not be able to return to work immediately, nor be guaranteed to be productive • People may not stay in Indonesia, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether people maintain/gain employment in jobs which can benefit society

Type MS · External costs and external benefits

Answer 22 of 24 · Question 3 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 22 of 24 · Question 3 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working. **Answer**	Mark

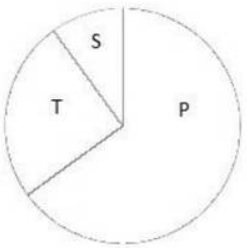
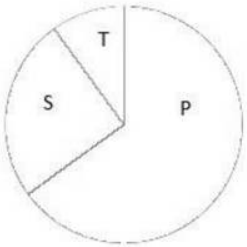
Type MS · External costs and external benefits

Answer 23 of 24 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** Price of substitute goods A is not correct because this would affect the costs of production B is not correct because this would not shift the demand curve D is not correct because this would affect the supply curve	**(1)**

Question number	Which **one** of the following is an example of an external cost? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Litter B is not correct because this is a private cost C is not correct because this is not an external cost D is not correct because this is an external benefit	**(1)**

Question number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for the primary sector (P) being the biggest **(1)** Award 1 mark for the primary sector (P) being greater than or equal to 50% **(1)** Award 1 mark for the remaining portion being divided between the tertiary (T) and the secondary (S) sector **(1)**  OR  	**(3)**

Type MS · External costs and external benefits

Answer 23 of 24 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When excess demand occurs, there are not enough tickets available in the market • As not enough tickets are supplied at 1 500 krona, price will rise as a result of demand being greater than supply • Therefore, at 1 500 krona, 8,000 tickets would be demanded but only a maximum of 6,000 tickets would be available at an event • If the price increased to 2 000 krona, the excess demand would be removed • Demand falls as the price increases, until the equilibrium price of 2 000 krona and the equilibrium of 6,000 tickets is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 23 of 24 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare is an external benefit because it has a positive spillover effect • This means that the people who receive healthcare in Indonesia can provide a benefit to third parties • This is because when people are healthy, they would be more likely to be able to perform their jobs and carry out activities in the economy, which can be beneficial to the wider society • Therefore, firms are also more likely to be able to produce the standard/quality of goods and services demanded by people in Indonesia • Economic growth has therefore increased, as shown by the better-than-expected rise, thus benefitting the people of Indonesia **AO4** • However, there could be an opportunity cost. The money spent on healthcare could be used for other needs such as education • It will take time for the benefits of healthcare to be enjoyed by others in the country because people may not be able to return to work immediately, nor be guaranteed to be productive • People may not stay in Indonesia, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether people maintain/gain employment in jobs which can benefit society

Type MS · External costs and external benefits

Answer 23 of 24 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · External costs and external benefits

Answer 23 of 24 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working. **Answer**	Mark

Type MS · External costs and external benefits

Answer 24 of 24 · Question 4 part b · 6 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

	Answer	
4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in single-use plastic bags sold in the UK $\frac{133 \text{ million} - 197 \text{ million}}{197 \text{ million}} \times 100$ **(1)** **OR** $\frac{-64 \text{ million}}{197 \text{ million}} \times 100$ = 32.49% **(1)** Award 2 marks if the correct answer is 32.49% even if no calculations are shown Award 1 mark if the answer given is 32.49 even if no calculations are shown No marks for formula	**(2)**

Type MS · External costs and external benefits

Answer 24 of 24 · Question 4 part b · 6 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer spending can lead to significant environmental damage particularly as this accounts for 26% of emissions in the UK • When consumers purchase goods, such as food and clothes, firms have to use energy to make these goods often using fossil fuels • Fossil fuels pollute the air with the energy sector accounting for 17% of emissions in the UK • The production and transportation of goods cause air, water and noise pollution from factories and vehicles • For example, factories may release harmful chemicals into rivers and trucks carrying products release exhaust fumes into the air damaging the environment	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · External costs and external benefits

Answer 24 of 24 · Question 4 part b · 6 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible advantages of using regulation to protect the environment for a country such as the UK. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Regulation can provide direct control over harmful activities such as using single-use plastics by an outright ban resulting in immediate compliance by firms and consumers • Regulations establish clear standards and rules that must be followed providing certainty for firms and consumers • The new regulations will ensure firms and consumers adopt more sustainable practices • For example, banning certain types of single-use plastics encourages the use of more sustainable or reusable alternatives • Following regulations should result in less damage to the environment and reduce the 2.7 billion single-use plastic items used in England **AO4** • However, firms that produce or use single-use plastics may face significant costs to switch to alternative materials, particularly for small takeaway shops and food firms • Small firms might find it especially difficult to absorb the costs of transitioning away from single-use plastics and may not have the resources to quickly find or afford alternative products • Firms and consumers have less flexibility in choosing convenient and often cheaper single-use options • Ensuring that every retailer and firm in the food industry complies with the ban could be challenging and costly to monitor • There is a risk of non-compliance if the ban is not enforced consistently or the fine is not high enough • Overall, there are a number of ways the UK Government can protect the environment with regulation being used together with taxation and fines	**(12)**

Type MS · External costs and external benefits

Answer 24 of 24 · Question 4 part b · 6 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · External costs and external benefits

Answer 24 of 24 · Question 4 part b · 6 marks

2025 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

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